



1.

'Critics of the Big Six might argue that electricity companies should not have been privatised as they can never behave or perform like supermarkets.'
(**Extract C**, lines 15–16).

Using the data and your knowledge of economics, assess the arguments for and against the UK electricity industry being brought back into public ownership.

[25 marks]

2.

In January 2012, a BBC consumer programme reported that British nationals living in Florida were paying £3000 for a return flight to London, while the same airline was charging British tourists flying from London £300 for a return flight to Florida.

Explain the market conditions that enable firms to charge different customers different prices for a product.

[15 marks]

3.

Assess whether price discrimination is always undesirable.

[25 marks]

Extract B: Supplying the energy market: the case of Milford Haven

For hundreds of years, the harbour of Milford Haven in West Wales has responded to changes in the global economy. It has accommodated many global activities, including trade, defence, transport and tourism. These activities are often in potential conflict with the environment. Although it is surrounded by the Wales coastal footpath and the *Pembrokeshire National Park*, Milford Haven contains two massive oil refineries, several leisure marinas, an international car ferry port and quays for what little remains of the West Wales fishing industry. 1
5

Milford Haven Port Authority (MHPA) is a nationalised enterprise, accountable to the *Department of Trade and Industry* in London. Ports have often developed historically as 'public works' due to their strategic importance and because of the large amount of investment needed to build port installations. Governments are trying to reduce the size of the public sector in order to improve efficiency and competition. However, given the activities with which it is involved, there are commercial and wider economic and social arguments against a body such as the MHPA being privatised. For example, the MHPA has argued that privatisation would reduce its ability to take part in infrastructure projects in public-private partnerships. These partnerships involve a variety of companies and government bodies at local, regional, national and international levels. 10
15

A major strategy adopted by the MHPA involves anticipating and reacting to changes in the global energy market. The boom years of North Sea oil and gas, which created high wages in skilled jobs for northern ports such as Aberdeen, are drawing to a close. Global oil and gas markets are often concentrated markets. For this reason, as well as for reasons of ensuring security of supply, new sources such as biofuels and other diverse forms of energy are being sought. 20

The MHPA, together with the UK government, has negotiated a long-term deal with the government of Qatar in the Arabian Gulf for the supply of liquefied natural gas (LNG). This is sent to Milford Haven in refrigerated container ships and then stored in huge tanks at the port. When the gas is warmed up, it expands to 600 times its liquefied volume. The gas is sent through a new pipeline to a pumping station 150 miles away in Gloucestershire. It is then distributed into the UK national grid for industrial and domestic use. This is an example of a public-private partnership in action. 25
30

The distribution of fuels such as gas and oil involves some negative externalities. There was controversy when the new pipeline was laid through attractive Welsh countryside, including the *Brecon Beacons National Park*. Some 15 years ago, the oil tanker *Sea Empress* sank near the entrance to Milford Haven and it took the local economy several years to recover from the environmental impact of the resulting pollution. Given the recent environmental experiences of BP in the Gulf of Mexico, environmentalists are concerned about the possibility of some sort of disaster arising from the storage or movement of LNG. 35

There are also concerns about the UK's possible over-reliance on a single product (LNG) from a monopoly source (the state of Qatar) and a single distribution channel (the Pembroke-Gloucester pipeline). Supporters of the MHPA strategy claim that the LNG business actually aids consumer choice and competition through diversification, adding gas installations to the existing oil and renewable energy installations in and around the port. The MHPA states that safety and the prevention of environmental incidents are the 'most important priorities' of their business. 40

Sources: news reports and industry information, 2010



5.

'Most people would say that the ending of the BT telephone monopoly, and competition in the telecommunications market, have been beneficial. However, Britain's railways show why some monopolies should not be replaced by a number of competing firms.'

Evaluate the view that consumers are always better off and producers are always worse off if monopolies are broken up to encourage as much competition as possible.

[25 marks]

6.

Critically assess the proposition that perfect competition will always result in an efficient allocation of resources, no matter what good or service is being produced and consumed.

[25 marks]

7.

Explain why the average and marginal revenue curves of a perfectly competitive firm are horizontal, while those of a monopoly slope downwards.

[15 marks]

8.

'While some economic theories become dated, the theory of perfect competition has become more realistic over time.'

Discuss whether technological developments, such as the internet, are making markets more competitive and making perfect competition theory more realistic.

[25 marks]

9.

Explain why a perfectly competitive firm might be regarded as statically efficient while a monopoly might be regarded as dynamically efficient.

[15 marks]

10.

'Consumers might have doubts about the effectiveness of regulators such as OFGEM' (**The European Union Context Extract E**, line 13).

Using the data and your economic knowledge, assess methods that could be used by the UK government and the EU to promote competition in the supply of domestic gas.

[25 marks]

11.

Thirty years ago the computer market was dominated by one huge monopoly called IBM (International Business Machines). Today, most people have never even heard of IBM. Newer companies such as Microsoft, Apple and Google have grown rapidly to become very competitive giants.

Evaluate the view that competition policy is never necessary because, in the long run, market forces will ensure that monopolies cannot abuse their power and will not last.

[25 marks]

**12.**

Explain what is meant by an 'oligopolistic market' (**Extract F**, line 14) **and** analyse why such a market might lead to 'sticky' gas prices (**The European Union Context Extract E**, line 16).

[9 marks]**13.****THE EUROPEAN UNION CONTEXT****Extract F: The 'Butane Man'**

One reason why it is difficult to regulate gas in the same way across all 27 member states of the Single European Market is that most EU states do not have well-developed pipeline distribution networks. Spain, Portugal, Greece and Ireland are leading the way in the process of catching up. In Spain, for example, where most of the population live near town centres in apartments that were built some time ago, there has been a strong tradition of using liquid petroleum gas (LPG). The 'Butane Man', who regularly delivers gas cylinders to households, has much the same standing in popular culture as the traditional 'milkman' in the UK. A recent proposed strike by butane delivery workers was regarded as a very serious threat by Spanish media, government and consumers. 1

Putting homes onto the gas mains is least costly when new housing estates are being built, meaning that such houses can all be connected at the same time. It is often forgotten that there are over 4 million homes in the UK not connected to gas mains and which therefore rely on deliveries of LPG. It would also appear that the market for LPG is a highly concentrated oligopolistic market, with just four main suppliers: Shell, BP, Calor and FloGas. However, the market is unregulated and, according to OFGEM, this is because it is not dependent on a pipeline and therefore is 'not a natural monopoly'. 5

However, in 2011, a BBC consumer affairs programme alleged that these companies were carrying out anti-competitive practices, such as locking consumers into long-term contracts, and that a smaller new entrant, Extra Gas, was the only company with transparent prices on its website. The programme found 30 houses in one neighbourhood all paying different prices, ranging from 35p to 52p per litre, with companies apparently charging the highest prices to customers using the least gas. While their MP called for OFGEM to get involved, one group of 51 households in a village in Devon saved £14 000 a year between them by forming a buying group and negotiating a single contract with a petroleum gas supplier. 10

20

Sources: news reports, 2011

14. THE EUROPEAN UNION CONTEXT

Extract E: Getting gas to market

In the EU as a whole, there are over 72 million domestic consumers of piped natural gas. The largest consumers of piped gas are Belgium, France, Germany, Italy, the Netherlands and the UK. In the UK, six energy companies control 99% of the market for natural gas. *British Gas*, the privatised utility, dominates the market with over 50% market share. There are no signs, at present, of any significant new entrants to the market. 1

The EU Commissioner for Energy has called for the 'Europeanisation' of energy policy. The Commissioner argues that it is necessary to assure all EU consumers that their energy sources are safe, competitive, efficient and sustainable. To help achieve this, the *Agency for the Cooperation of Energy Regulators* (ACER) was launched in 2011 as an agency of the EU. At present, it has an advisory and coordinating role across the EU, rather than a regulatory one. In the UK, The *Office for Gas and Electricity Markets* (OFGEM) is the main regulator for piped natural gas. 5

Consumers might have doubts about the effectiveness of regulators such as OFGEM. In August 2011, price increases averaging 18% were announced for piped natural gas, while general inflation was 4.5%. Observers noted that, while wholesale prices were volatile, domestic retail prices tended to follow them upwards and then became 'sticky' and unlikely to follow them downwards. One problem is that there is very little storage capacity in the UK. OFGEM does not directly regulate prices, and is far more concerned with the ease with which consumers can switch between suppliers. 10

15

Sources: news reports, 2011

- 15.** The UK government is considering building a high-speed train line (known as HS2) linking London with cities in the north. It is claimed that HS2 will enable significant reductions in journey times for passengers and goods.
- Explain the likely short-run and long-run effects of investment in infrastructure projects such as HS2 on both labour **and** product markets in the UK.
- [15 marks]**

- 16.** Thirty years ago the computer market was dominated by one huge monopoly called IBM (International Business Machines). Today, most people have never even heard of IBM. Newer companies such as Microsoft, Apple and Google have grown rapidly to become very competitive giants.

Explain the main sources of monopoly power.

[15 marks]

- 17.** Explain the distinction between 'monopsony power' and 'oligopoly' (**The European Union Context Extract E**, line 5) **and** analyse how the market power of supermarkets can affect the profitability of dairy farms.

[9 marks]



18.

Small, independent coffee shops face competition from large multinational companies with well-promoted brands. In the High Street of a major British city, one such independent business advertises in the following way:

‘Cappuccino or Pot of Tea: £1.19 before 12 noon; £1.39 during lunch time (12 – 2.30 pm); and only 99p after 2.30 pm.’

Economists sometimes analyse small and large businesses through a ‘structure, conduct, performance model’ and consider such issues as a ‘divorce’ of ownership from control.

Discuss ways in which the size of firms and the structure of the coffee-shop market might affect the conduct **and** performance of the firms within it.

[25 marks]

19.

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Explain how such a pricing strategy is influenced by price elasticities of demand, revenues and costs.

[15 marks]

20.

In recent years, the EU has decided that the agricultural sector must become ‘more responsive to market forces’ (**The European Union Context Extract F**, line 12).

Using the data and your economic knowledge, discuss whether UK farming would benefit from greater responsiveness to market forces and less intervention by the UK government and the EU.

[25 marks]

21.

The European Commission prevents mobile phone networks from colluding on ‘roaming charges’ when consumers travel around Europe. Meanwhile, the EU has forced mobile phone manufacturers to cooperate in making a single design of phone charger.

Evaluate the view that governments should never intervene to influence how oligopolists collude or cooperate on such issues as fixing prices, varying output, conducting research, developing products, or carrying out any other aspect of their business.

[25 marks]

22.

THE EUROPEAN UNION CONTEXT

Extract F: The EU milk market

Over recent decades, the governments of most industrialised countries have intervened in their agricultural markets to offer support through subsidies and other measures. In Europe, agriculture employs less than 5% of the workforce, while agricultural intervention has traditionally taken about 50% of the EU budget. 1

Aimed at limiting state spending on the dairy sector, controlling milk production, and stabilising both milk prices and producer incomes, the EU introduced a milk quota system in 1984 as part of the Common Agricultural Policy (CAP). Milk quotas place a limit on the amount of milk that a farmer can sell every year without paying a 'levy' or penalty to the EU. The CAP has forced dairy farmers to work below capacity and even to dump milk, damaging the EU's reputation for economic efficiency. 5 10

The EU plans to end milk quotas in 2015 and wants agriculture to be less influenced by government intervention and more responsive to market forces. As quotas are removed, farms might be expected to become fewer, larger and more intensive. In Spain, for example, the industry has been allowed three times as much milk output since 1993, while the number of dairy farms has fallen drastically and productivity has risen. Meanwhile, like the UK government, the Spanish government has intervened to try to negotiate new pricing contracts between farmers, food processors and retailers. There is always a risk that government intervention in such negotiations in any market can adversely affect efficiency. 15

Sources: news reports and government information, 2012

23.

THE EUROPEAN UNION CONTEXT

Extract E: British milk from British cows

Milk is the single largest part of the UK agricultural sector by value of output. Almost all the milk in the UK is purchased by just six major processors who then sell on to a market dominated by five or six large supermarket chains. UK dairy farmers complain that while they have to act competitively as price takers, there is a combination of some degree of monopsony power and oligopoly standing between the farms and the public. They claim that dairy processors have too much power when they buy milk from the farms and, in turn, the market for the processors' output is dominated by the buyers working for large, powerful supermarkets, which then sell to the public as oligopolists. 1 5

The supermarkets argue that British producers are in a weak position because alternative sources of cheap milk are available for import. The farmers claim that this argument is unsustainable because, if they were forced into bankruptcy, consumers would have no alternative but to buy imported milk which would no longer be offered at low prices. 10

In 2013, there were concerns about complicated supply chains across Europe resulting in a lack of traceability in meat products, leading to problems such as supermarket beef burgers containing horse meat. If more dairy farms go out of business, similar problems might occur with milk. 15

Sources: news reports and government information, 2013

24.

Explain how the determination of prices and output by oligopolists is affected not only by the reactions of their customers, but also by their interdependence with other producers.

[15 marks]



25.

'The internet has benefited small firms and has helped to make some markets more competitive.'

Explain why this might be the case.

[15 marks]

